

General Public Utilities, now recovered from its Three Mile Island mishap, has reached the same stage of development that Con Ed did ten years ago (see chart). It, too, is now buying back stock and raising the dividend.

DOES IT PAY?

If you do plan to buy a stock for its dividend, find out if the company is going to be able to pay it during recessions and bad times. How about Fleet-Norstar, formerly Industrial National Bank, which has paid uninterrupted dividends since 1791?

If a slow grower omits a dividend, you're stuck with a difficult situation: a sluggish enterprise that has little going for it.

A company with a 20-or 30-year record of regularly raising the dividend is your best bet. Stocks such as Kellogg and Ralston Purina haven't reduced dividends—much less eliminated them—through the last three wars and eight recessions, so this is the kind you want to own if you believe in dividends. Heavily indebted companies like Southmark can never offer the same assurance as a Bristol-Myers, which has very little debt. (In fact, after Southmark recently suffered losses from its real estate operations, the stock price plummeted from \$11 to \$3 and the company suspended the dividend.) Cyclical are not always reliable dividend-payers: Ford omitted its dividend back in 1982 and the stock price declined to under \$4 per share (adjusted for splits)—a 25-year low. As long as Ford doesn't lose all its cash, nobody has to worry about their omitting dividends today.

BOOK VALUE

Book value gets a lot of attention these days—perhaps because it's such an easy number to find. You see it reported everywhere. Popular computer programs can tell you instantly how many stocks are selling for less than the stated book value. People invest in these on the theory that if the book value is \$20 a share and the stock sells for \$10, they're getting something for half price.

The flaw is that the stated book value often bears little relationship to the actual worth of the company. It often understates or overstates reality by a large margin. Penn Central had a book value of more than \$60 a share when it went bankrupt!

At the end of 1976, Alan Wood Steel had a stated book value of \$32 million, or \$40 per share. In spite of that, the company filed for [Chapter 11](#) bankruptcy six months later. The problem was that its new steelmaking facility, worth perhaps \$30 million on paper, was ineptly planned, and certain operational flaws